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【メール原文】

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Japan Angle

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Tokyo pulling ahead of Seoul on US investments

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Flexibility gives Tokyo edge over Seoul in navigating US investments

Both Japan and South Korea have committed to large-scale investment frameworks with the US as part of their bilateral trade deals with President Donald Trump's administration. In return for securing lower US tariff rates, Japan pledged to invest \$550 billion and Korea \$350 billion across the energy, semiconductor, shipbuilding, and critical minerals sectors. From the beginning, Korea modeled its investment framework after Japan's, but the two countries have since taken sharply different approaches to implementing their agreements.

South Korea's legal framework is the central bottleneck

Japan and South Korea both entered their investment frameworks with Washington under broadly similar terms, but the institutional machinery each country must operate through could not be more different. Japan's process, anchored by the Japan Bank for International Cooperation (JBIC), has been up and running for months. JBIC was granted special authority to invest in the US despite its usual restriction from operating in developed markets, and will provide about 60% of total project financing, with the remaining 40% sourced from private companies. Five Japanese government agencies are involved in the consultation committee with the US—the Ministry of Economy, Trade and Industry (METI), Ministry of Foreign Affairs, Ministry of Finance, Nippon Export and Investment Insurance, and JBIC—but JBIC's approval is the decisive one, and even the prime minister's office does not pressure it into accepting investment proposals.

On the other hand, South Korea's enabling legislation only came into effect on 18 June, months after Japan had already announced over \$100 billion in investment projects. The approval chain for Korea's investment projects is also bureaucratically complex:

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The Ministry of Trade, Industry and Resources (MOTIR) first chairs a committee to assess an investment project's commercial viability;

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MOTIR then hands off the project to the Ministry of Finance for further vetting, particularly around project financing;

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If a project fails the viability test, it must go to the National Assembly for approval.

To date, all Korean investment projects under discussion remain stuck at stage one, with MOTIR conducting due diligence and working with external law firms to assess individual proposals. The first concrete announcement, originally expected by the end of June, has already slipped to at least the end of August. The newly established Korea-US Strategic Investment Steering Committee at Sejong is also still in its infancy. A new chair has only recently been appointed, staff appointments are ongoing, and the body is still working through bureaucratic basics such as setting up a foreign escrow account in the US. These structural obstacles will likely continue to make Korea's investment screening process meaningfully slower than Japan's.

Japan and Korea have fundamentally different negotiating cultures and Washington knows it

Perhaps the starkest contrast between the two countries' experiences lies not in their legal frameworks, but in how they engage Washington at the negotiating table. Japan operates with a generally pragmatic and cooperative mentality. When the Department of Commerce (DOC) puts forward a proposal that Tokyo finds commercially unviable, Japanese officials do not reject it outright; instead, they work to repackage the proposal—stripping out expensive equipment, negotiating down private-sector fees, adjusting the project scope—until they can propose an alternative version.

South Korea, by contrast, has developed a reputation in Washington for rejecting DOC proposals outright when they fail its initial commercial viability test. Seoul's posture has been criticized as "we win" compared with Japan's "win-win" approach. This is a reflection of greater domestic political pressures in Korea, but one that is generating mounting frustration at DOC and the Office of the US Trade Representative.

The consequences are concrete: DOC officials have begun rerouting less desirable investment proposals that Japan declines to Korea, and Seoul is aware of this dynamic, further diminishing Korea's willingness to agree. Commerce Secretary Howard Lutnick, the key decision-maker on deals for both Japan and Korea, is growing impatient with Korea's pace and approach. DOC appears to be rewarding Japan's proactive engagement with better-quality project proposals, while Korea is left negotiating over the remainder.

Commercial viability remains the core obstacle

Japan and Korea face a similar challenge: The US investment projects on the table are generally not commercially viable. Investment initiatives with more favorable economics are offered to private sector actors; in late June, DOC appeared to yank back an investment initiative that was in advanced discussions with Korea. For its part, JBIC has also assessed that all projects currently under discussion for a third round of Japanese investments—likely to be announced sometime in the fall—are unprofitable. DOC officials have privately acknowledged the same.

For Japan, the institutional response to this problem is more manageable. JBIC retains the explicit right to reject projects it deems insufficiently profitable, and officials point to a clause in the investment framework agreement stipulating that investments cannot violate Japanese domestic law. Japan's threshold for project approval is "viability"—a lower bar than "bankability" as the Koreans generally insist upon—which provides some flexibility. There is also greater comfort with ambiguity in Tokyo; JBIC

continues to negotiate with the US side over potential cost overruns, liability arrangements, and other details in the investment agreements that were announced in March.

For Korea, the commercial viability problem is far more politically sensitive. The National Assembly will likely not approve investments that it regards as financially unsound, and the center-left government will not compel it to do so. Seoul also faces additional macroeconomic concerns: officials are worried that large-scale capital outflows could exacerbate Korean won weakness and have requested more time to assess proposals' cash flow projections and interest rate assumptions. Washington's demand for 100% US ownership of Korean investment projects further constrains the commercial logic for the Korean side and makes the proposals more challenging to sell domestically.

The US is pushing for unrealistic timelines

Both Japan and Korea are operating under intense political time pressure from Washington. The Trump White House has pushed for tangible announcements from both Tokyo and Seoul before the US midterm elections in November, and the optics of deal delivery matter enormously to an administration that has presented these frameworks as proof of its negotiating leverage. Japan, with \$100 billion in projects already announced and a more mature pipeline, is better positioned to satisfy this demand than Korea.

Lutnick and his team have demonstrated limited patience for—and in some cases limited understanding of—the domestic constraints their Japanese and especially their Korean counterparts are navigating. The US has repeatedly rejected proposals from the Korean side as too small, for example. Meanwhile, MOTIR, Korea's sole counterpart to DOC, has complained of receiving insufficient information from the US side to move projects forward.

For Korea, the political risk of another blowup with Washington is growing. Trump could publicly lash out over Korea's apparent delay at any point, as he did in January; there is also an awareness in Seoul that Trump's frustration, if it boils over, would likely be directed at Lutnick as much as at Korea and could reflect internal power dynamics within the Trump administration. For now, the US is unlikely to raise tariffs against South Korea as long as negotiations continue in good faith. A pending Section 301 investigation into Korea's trade practices may yield a combined rate above 15%—when added to an earlier 301 finding—but with scope to adjust rates downward to levels agreed to as part of the investment framework agreement.

Shipbuilding and nuclear energy are the two sectors with the most at stake

Across both the Japanese and Korean frameworks, shipbuilding and nuclear energy are the sectors of potentially greatest strategic significance and the ones generating the most complex negotiations.

Shipbuilding offers the most potential upside, including trilateral cooperation. The US wants ships to be built in US shipyards, while Seoul wants to build them in Korea, where costs of construction are roughly one-quarter of US levels. Japan is indifferent to the location, but it lacks the capacity to build ships independently and likely needs to rely on Korean expertise. A US congressional delegation recently toured Korean shipyards, and discussions are underway of potential modifications to the Jones Act, Byrnes-Tollefson amendment, and related provisions in the National Defense Authorization Act that could ease restrictions on Korea building US naval vessels, including overseas. However, other parts of Congress are moving to box in the administration and make investment in US shipyards the only acceptable outcome.

In this May's Navy posture hearing, both Chairman Roger Wicker (R-MS) and Senator Mark Kelly (D-AZ) expressed major reservations about plans to build US ships abroad. In this way, there are competing priorities on the US side that are adding further pressure on the location disagreements and complicating their resolution. Trilateral cooperation is also being explored—MOTIR has approached Japan's METI about potential joint projects—but the fundamental disagreement over locations remains unresolved and will likely delay progress on shipbuilding investments.

On nuclear energy, Japan is further along than Korea. In March, Japan and the US announced up to \$40 billion in investments in ten small modular reactors (SMRs). Nuclear safety regulation has emerged as a key sticking point—the two sides are negotiating over liability arrangements in the event of a nuclear emergency—and Japan faces domestic restrictions on exporting nuclear technology. Initial SMR installation sites have been identified, with the Tennessee Valley Authority going first and construction potentially beginning at sites in Alabama and Tennessee as early as next year; the location of remaining units is still under negotiation but will likely be based on US government-owned land. Large-scale nuclear reactor projects are also in discussion, though details remain vague and are harder to finalize than SMRs. GE Hitachi is hoping to draw on its experience with an ongoing SMR project in Canada to guide its US approach.

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